EXPRESS KENYA LTD

COMPANY STATEMENT OF PROFIT OR LOSS	Unaudited 6months to 30 June 2015 Shs '000	Audited 12 months to 31 December 2014 Shs '000
Revenue	60,000	173,033
Direct costs	(33,747)	(141,185)
Gross profit	26,253	31,848
Other operating income	5,856	164
Administrative expenses	(21,893)	(57,812)
Other operating expenses	(24,817)	(41,280)
Operating (loss)	(14,601)	(67,080)
Finance costs	(8,666)	(14,159)
(Loss) before tax	(23,267)	(81,239)
Tax credit	-	(917)
(Loss) for the period/year	(23,267)	(82,156)
Earnings per share		
Basic and diluted earnings per share	Shs. (0.66)	Shs. (2.32)
STATEMENT OF CASH FLOWS	Shs '000	Shs '000
At start of period/year	(49,688)	(9,594)
Net cash (used in) operating activities	(1,152)	(84,552)
Net cash from investing activities	12,503	21,456
Net cash from financing activities	(1,651)	23,280
Effect of exchange rate changes	(343)	(278)
At end of period/year	(40,331)	(49,688)
COMPANY STATEMENT OF FINANCIAL POSITION	Shs '000	Shs '000
ASSETS		
Non-current assets	385,153	405,433
Current assets	83,239	75,024
TOTAL ASSETS	468,392	480,457
EQUITY AND LIABILITIES		
Share capital	177,019	177,019
Share premium	10,502	10,502
Reserves	(30,630)	(7,363)
Shareholders' funds	156,891	180,158
Non-current liabilities	199,914	171,123
Current liabilities	111,587	129,176
Total liabilities	311,501	300,299
TOTAL EQUITY AND LIABILITIES	468,392	480,457

STATEMENT OF CHANGES IN EQUITY

Period ended 30 June 2015	Share capital Shs '000	Share premium Shs '000	Revaluation reserve Shs '000	Retained (deficit) Shs '000	Total equity Shs '000
At start of year	177,019	10,502	142,389	(149,752)	180,158
Total (loss) for the period	-	-	-	(23,267)	(23,267)
At end of period	177,019	10,502	142,389	(173,019)	156,891

BASIS OF PREPARATION

The financial statements have been prepared on a historical cost basis in accordance with the International Financial Reporting Standards (IFRS) and the accounting policies have been consistently applied to all the years presented, unless otherwise stated.

AUDIT OPINION

The financial statements were approved by the board and were audited by PKF Kenya.

PERFORMANCE

In comparison to a similar period last year, the company has continued to hold steady in terms of revenue despite the tough operating environment. The management has put in place strict measures to keep in check its' spending, a move that has led to a decline in its direct costs by over 100% leading to an overall improvement in its gross profit margin. In order to facilitate the diversion into the real estate sector, the company has had to cater to a number of expenses, a move which has led to the increment of other operaring expenses in the short run. The finance costs have also increased in tandem with these activities.

FUTURE OUTLOOK

The company has gone head on into the real estate project and has already obtained all the necessary approvals from the requisite authorities. Plans are underway to break ground within the next few months and already a professional team has been appointed. The site promises to be a hot selling property judging by the number of interested applications the company has received so far.

DIVIDEND

The company does not recommend the declaration of an interim dividend for the 6 months to June 2015.

By Order of the Board

Hector Diniz
Chief Executive Officer